

29 May 2026 02:48:37 ET | 15 pages

China Steel

Downstream PMI — Downstream Dynamics Trending Better

CITI'S TAKE

May 2026 steel downstream PMI was 50.66%, up 0.22ppt MoM and up 0.85ppts YoY, respectively. The production index was 50.74%, down 0.11ppt MoM and up 1.25ppt YoY. The new orders index was 51.51%, up 0.62ppt MoM and up 1.81ppt YoY.

Construction PMI was 50.71%, up 0.15ppt MoM and +0.94ppt YoY — It was a mixed bag of momentum in May. Positive: May is a traditional peak season and lots of construction projects are expediting progress. Negative: Rainy day in part of the region, which might delay progress. New orderbook trended better, mainly on projects with short cycles and quick payback periods (i.e., factories and warehouses). Raw-material prices were slightly up MoM, and construction downstream was buying-as-needed.

Machinery PMI was 51.01%, up 0.31ppt MoM and +1.67ppt YoY — Machinery remained the strong momentum in May-26 with production and sales continuing to trend better. Within the space, machine tools and transformers markets are booming with robust new orders, engineering machinery and heavy machinery remained steady, whilst agricultural machinery trended weaker given the conclusion of the spring plowing.

Auto PMI was 50.84%, up 1.6ppt MoM and +0.16ppt YoY — Auto space witnessed an MoM up new orderbook trend, thanks to the Labor Holiday, auto exhibition, and increasing discount from the OEM. NEV continued outperforming ICE, and exports remained the key catalyst. Raw material procurement is still buying-as-needed.

Shipbuilding PMI was 50.03%, up 0.23ppt MoM and down 0.38ppt YoY — The utilization rate of shipbuilding remained high, as the capacity was still tight. New orderbook was stable, mainly from VLCC and cargo. SMM estimates that there should be some positive catalyst from the suspension of Section 301 investigation, stimulating demand from overseas shipbuilding. Raw material procurement is still buying-as-needed.

Home appliances PMI was 50.74%, up 1.71ppt MoM and +1.6ppt YoY — Home appliance witnessed an improving utilization rate in May, thanks to the 6.18 Festival, and high-temperature ahead. Within the space, exports outperformed the domestic market. However, some home-appliance makers were concerned about the overseas orderbook ahead, as recent raw materials cost inflation might put downward pressure on overseas demand.

Infrastructure PMI was 50.04%, down 0.36ppt MoM and -0.28ppt YoY — New orderbook was MoM down, mainly attributable to the concern of fund availability. New projects continue to focus on traditional infrastructure, such as roads and railways. Raw materials procurement increased in tandem with the improving infrastructure progress.

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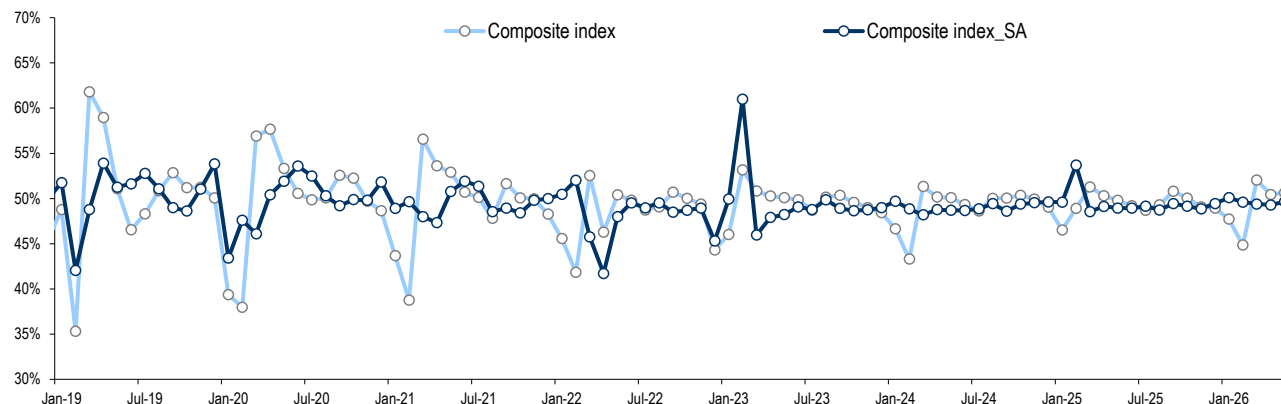
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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Figure 1. Steel PMI Composite Index



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Source: Citi Research, SMM

Construction Industry

Figure 2. Construction Industry PMI

No. Index	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	MoM	YoY
1 Production	49.1%	49.3%	48.3%	48.0%	51.5%	51.3%	48.1%	47.1%	42.7%	40.5%	53.7%	51.3%	50.1%	-1.2%	1.0%
2 New orders	49.8%	48.6%	46.3%	49.3%	51.5%	49.5%	48.2%	49.0%	47.3%	43.2%	51.2%	51.1%	52.3%	1.2%	2.5%
3 New export orders	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	0.0%	0.0%
4 Overstock orders	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	0.0%	0.0%
5 Products inventory	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	0.0%	0.0%
6 Purchasing volume	49.6%	48.1%	47.6%	48.9%	52.5%	51.0%	49.7%	48.1%	46.0%	42.0%	53.0%	50.5%	50.3%	-0.2%	0.7%
7 Import	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	0.0%	0.0%
8 Purchasing price	49.7%	48.8%	52.0%	48.4%	48.5%	49.3%	50.2%	50.7%	49.3%	49.0%	50.1%	50.2%	51.3%	1.1%	1.6%
9 Raw materials inventory	49.5%	48.4%	48.1%	48.6%	50.8%	50.4%	49.2%	49.5%	48.7%	49.2%	51.6%	50.2%	50.2%	0.0%	0.7%
10 No. of employees	50.4%	47.5%	49.7%	49.5%	49.5%	49.9%	48.3%	46.3%	47.9%	43.3%	52.2%	49.5%	49.9%	0.4%	-0.4%
11 Supplier delivery time	50.0%	49.2%	50.0%	50.0%	49.4%	50.0%	50.0%	49.3%	50.0%	47.7%	51.2%	50.0%	50.0%	0.0%	0.0%
* Composite	49.8%	48.7%	48.3%	49.2%	50.7%	50.2%	48.6%	48.1%	46.9%	43.9%	52.0%	50.6%	50.7%	0.1%	0.9%
* Seasonality adjusted composite	48.7%	48.5%	48.8%	48.2%	49.2%	48.9%	48.4%	49.1%	49.9%	49.4%	48.8%	48.8%	49.5%	0.6%	0.8%
Average inventory days	10.0	9.9	9.9	9.8	9.8	9.9	9.9	9.8	9.9	9.8	9.8	9.8	9.8	0.0	-0.1

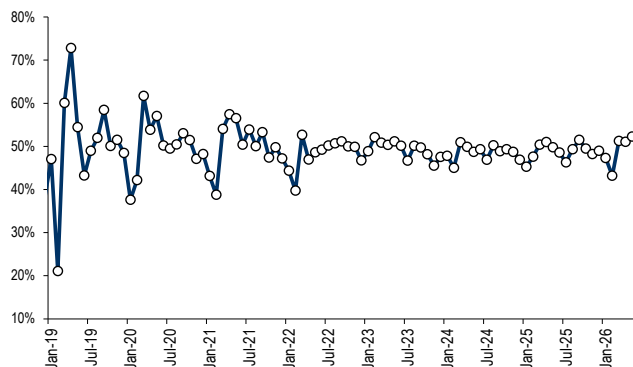
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Source: Citi Research, SMM

Construction PMI was 50.7%, up 0.1% MoM and 0.9ppt YoY. On a seasonally adjusted basis, the reading was 49.5%, up 0.6ppt MoM and 0.8ppt YoY. The production index was 50.1%, down 1.2ppt MoM and up 1.0ppt YoY. New orders index was 52.3%, up 1.2ppt MoM and 2.5ppt YoY.

A mixed bag of momentum was seen in May: Positive: May is a traditional peak season and lots of the construction projects are expediting the progress. Negative: rainy day in part of the region, which might delay the progress. New orderbook trended better, mainly on the projects with short cycles and quick payback periods (i.e. factories and warehouses). Raw-material prices were slightly up MoM, and construction downstream was buying-as-needed.

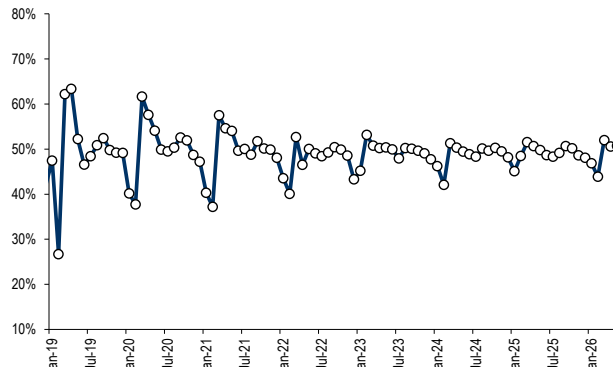
Figure 3. New orders index- Construction



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Source: Citi Research, SMM

Figure 4. Composite index-Construction



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Source: Citi Research, SMM

Machinery Industry

Figure 5. Machinery Industry PMI

No.	Index	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	MoM	YoY
1	Production	49.1%	48.3%	48.7%	47.5%	52.7%	50.2%	48.9%	50.2%	48.5%	44.1%	53.0%	50.7%	51.6%	0.9%	2.5%
2	New orders	48.6%	50.5%	49.1%	50.9%	50.3%	49.0%	50.0%	50.3%	49.2%	44.7%	52.9%	51.7%	51.8%	0.1%	3.2%
3	New export orders	50.0%	49.1%	50.0%	48.7%	50.6%	50.8%	50.5%	50.7%	50.2%	49.3%	52.0%	50.6%	51.2%	0.6%	1.1%
4	Overstock orders	49.0%	49.5%	49.4%	50.4%	49.1%	50.7%	49.5%	50.3%	49.7%	48.9%	51.9%	49.9%	51.7%	1.9%	2.8%
5	Products inventory	50.2%	50.7%	50.6%	50.2%	50.4%	49.8%	50.0%	50.6%	51.7%	50.3%	51.0%	50.2%	50.5%	0.3%	0.3%
6	Purchasing volume	49.2%	49.9%	48.6%	49.8%	50.9%	50.6%	49.8%	50.6%	49.7%	45.3%	51.5%	51.7%	51.0%	-0.8%	1.8%
7	Import	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	0.0%	0.0%
8	Purchasing price	49.7%	49.4%	51.9%	50.5%	48.2%	49.5%	49.5%	49.1%	49.3%	49.4%	50.2%	50.2%	50.9%	0.7%	1.2%
9	Raw materials inventory	49.8%	49.9%	48.8%	49.6%	50.2%	50.6%	49.8%	50.3%	49.3%	48.3%	50.7%	50.3%	50.9%	0.6%	1.2%
10	No. of employees	50.0%	50.0%	50.0%	49.9%	50.0%	50.0%	50.0%	50.0%	50.0%	46.9%	51.6%	50.0%	50.0%	0.0%	0.0%
11	Supplier delivery time	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	48.4%	51.0%	50.0%	50.0%	0.0%	0.0%
*	Composite	49.3%	49.8%	49.4%	49.6%	50.8%	49.8%	49.7%	50.2%	49.4%	46.0%	52.1%	50.7%	51.0%	0.3%	1.7%
*	Seasonality adjusted composite	48.7%	49.7%	49.9%	49.8%	49.3%	49.5%	49.3%	49.7%	50.8%	49.3%	50.2%	50.5%	50.3%	-0.2%	1.6%
	Average inventory days	19.1	19.0	19.0	19.0	19.0	19.0	19.0	19.0	19.0	18.9	18.9	18.9	18.9	0.0	-0.2

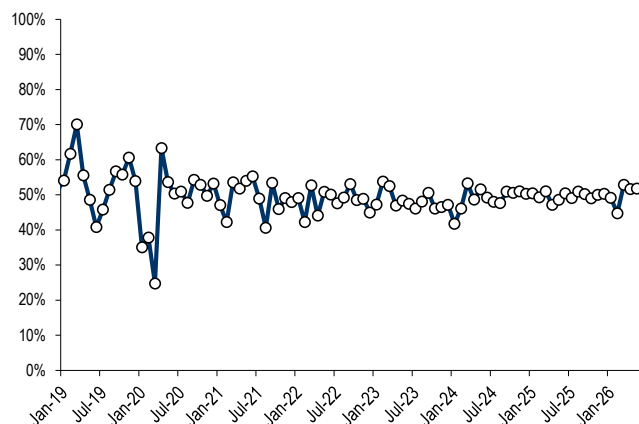
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Source: Citi Research, SMM

Machinery PMI was 51%, up 0.3%MoM and +1.7ppt YoY. On a seasonally adjusted basis, the reading was 50.3%, down 0.2ppt MoM and up 1.6ppt YoY. Production index was 51.6%, up 0.9ppt MoM and 2.5ppt YoY. New orders index was 51.8%, up 0.1ppt MoM and up 3.2ppt YoY.

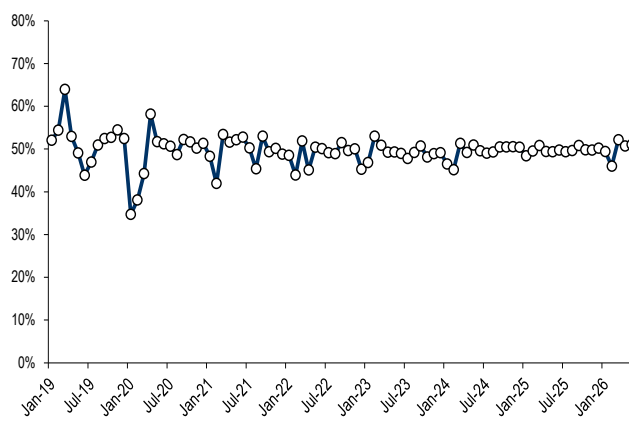
Machinery remained the strong momentum in May-26 with production and sales continuing to trend better. Within the space, machine tools and transformers markets were booming with robust new orders, engineering machinery and heavy machinery remained steady, whilst agricultural machinery trended weaker given the conclusion of the spring plowing.

Figure 6. New orders index- Machinery



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Source: Citi Research, SMM

Figure 7. Composite index - Machinery



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Source: Citi Research, SMM

Automobile Industry

Figure 8. Automobile Industry PMI

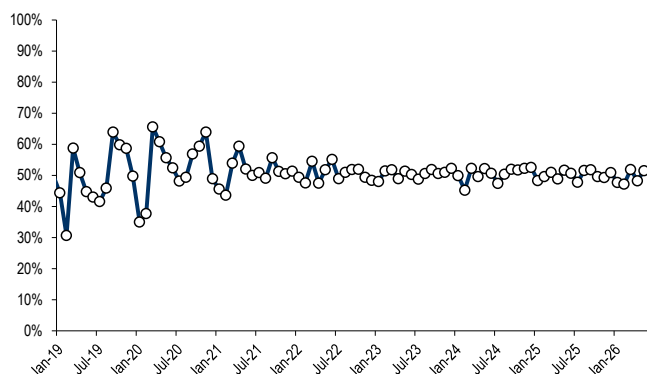
No.	Index	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	MoM	YoY
1	Production	50.9%	50.9%	49.0%	48.7%	52.9%	50.6%	51.1%	50.3%	47.9%	45.0%	53.1%	49.4%	51.4%	2.1%	0.5%
2	New orders	51.7%	50.7%	47.8%	51.6%	51.9%	49.7%	49.4%	51.0%	47.8%	47.2%	51.9%	48.3%	51.5%	3.2%	-0.1%
3	New export orders	50.3%	49.3%	49.3%	50.2%	52.0%	50.5%	50.1%	51.6%	48.9%	49.1%	51.4%	50.6%	50.6%	0.0%	0.3%
4	Overstock orders	50.0%	50.1%	49.7%	49.9%	52.7%	49.4%	49.9%	50.3%	49.2%	48.2%	51.0%	48.9%	49.9%	1.0%	-0.1%
5	Products inventory	48.3%	50.1%	50.0%	51.0%	49.5%	49.9%	50.2%	50.2%	50.8%	50.5%	50.7%	48.7%	50.1%	1.4%	1.8%
6	Purchasing volume	50.6%	50.3%	48.5%	49.4%	51.2%	50.8%	50.6%	50.5%	47.2%	45.3%	52.4%	49.9%	50.9%	1.0%	0.3%
7	Import	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	0.0%	0.0%
8	Purchasing price	49.0%	48.9%	51.1%	50.9%	49.6%	49.9%	50.4%	49.0%	48.9%	49.6%	50.7%	50.2%	51.0%	0.8%	2.0%
9	Raw materials inventory	50.6%	50.4%	48.4%	49.7%	50.8%	50.9%	50.4%	50.2%	49.7%	48.8%	50.7%	49.4%	50.5%	1.0%	-0.2%
10	No. of employees	50.0%	50.0%	50.0%	49.9%	50.0%	50.0%	50.0%	50.0%	50.0%	46.2%	52.1%	50.0%	50.0%	0.0%	0.0%
11	Supplier delivery time	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	49.2%	50.6%	50.0%	50.0%	0.0%	0.0%
*	Composite	50.7%	50.5%	49.0%	50.2%	51.3%	50.1%	50.1%	50.4%	48.8%	47.0%	52.0%	49.2%	50.8%	1.6%	0.2%
*	Seasonality adjusted composite	50.0%	50.0%	50.0%	50.1%	50.2%	49.6%	49.6%	49.7%	49.8%	49.8%	50.7%	49.7%	50.0%	0.4%	0.0%
	Average inventory days	31.1	31.1	31.0	31.0	31.1	31.1	31.1	31.1	31.1	31.0	31.0	31.0	31.1	0.1	0.0

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Source: Citi Research, SMMs

Auto PMI was 50.8%, up 1.6% MoM and +0.2ppt YoY. On a seasonally adjusted basis, the reading was 50%, up 0.4ppt MoM and flattish YoY. Production index was 51.4%, up 2.1ppt MoM and up 0.5ppt YoY. New orders index was 51.5%, up 3.2ppt MoM and down 0.1ppt YoY.

Auto space witnessed an MoM up new orderbook trend, thanks to the Labor Holiday, auto exhibition, and increasing discount from the OEM. NEV continued to outperform ICE, and exports remained the key catalyst. Raw-material procurement is still buying-as-needed.

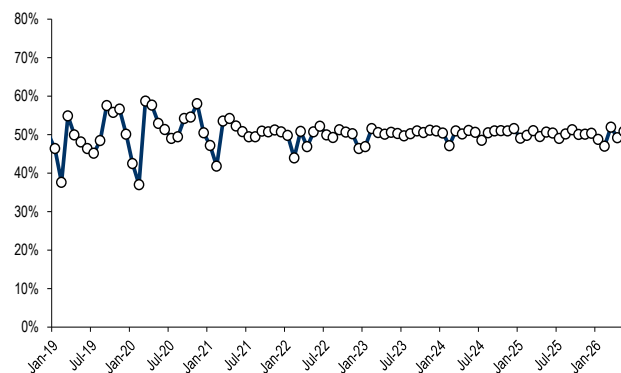
Figure 9. New orders index- Automobile



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Source: Citi Research, SMM

Figure 10. Composite index - Automobile



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Source: Citi Research, SMM

Shipbuilding Industry

Figure 11. Shipbuilding Industry PMI

No.	Index	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	MoM	YoY
1	Production	50.5%	50.4%	50.5%	51.0%	51.7%	51.0%	50.9%	51.6%	51.0%	43.0%	51.9%	51.2%	50.2%	-1.0%	-0.3%
2	New orders	50.8%	49.8%	47.9%	51.2%	49.0%	49.4%	50.5%	52.1%	49.7%	47.7%	50.7%	48.3%	49.9%	1.6%	-0.9%
3	New export orders	50.7%	51.2%	52.1%	50.9%	50.2%	50.5%	51.2%	51.0%	50.4%	49.6%	51.3%	50.3%	51.6%	1.3%	0.9%
4	Overstock orders	51.2%	49.9%	49.2%	50.8%	49.2%	49.8%	50.3%	50.9%	50.0%	49.2%	49.6%	48.9%	49.9%	1.0%	-1.3%
5	Products inventory	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	0.0%	0.0%
6	Purchasing volume	51.0%	50.1%	50.1%	52.1%	51.0%	50.7%	50.8%	51.3%	50.2%	47.7%	50.6%	50.7%	50.6%	-0.1%	-0.4%
7	Import	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	0.0%	0.0%
8	Purchasing price	50.2%	49.0%	51.1%	51.2%	49.3%	49.4%	49.5%	49.2%	49.7%	49.2%	50.8%	50.9%	50.7%	-0.2%	0.5%
9	Raw materials inventory	50.7%	50.2%	50.2%	51.3%	50.2%	49.9%	50.4%	50.4%	50.1%	49.0%	50.4%	50.2%	50.3%	0.1%	-0.4%
10	No. of employees	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	47.7%	51.8%	50.0%	50.0%	0.0%	0.0%
11	Supplier delivery time	50.0%	50.0%	50.0%	50.0%	49.8%	50.0%	50.0%	50.0%	50.0%	49.1%	50.7%	50.0%	50.0%	0.0%	0.0%
*	Composite	50.4%	50.0%	49.5%	50.7%	50.1%	50.1%	50.4%	51.1%	50.2%	46.9%	51.2%	49.8%	50.0%	0.2%	-0.4%
*	Seasonality adjusted composite	50.3%	49.2%	49.8%	50.5%	49.6%	49.8%	50.0%	51.0%	50.9%	49.9%	50.5%	49.2%	49.7%	0.5%	-0.5%
	Average inventory days	43.3	43.3	43.3	43.3	43.3	43.3	43.3	43.3	43.3	43.3	43.3	43.3	43.3	0.1	0.1

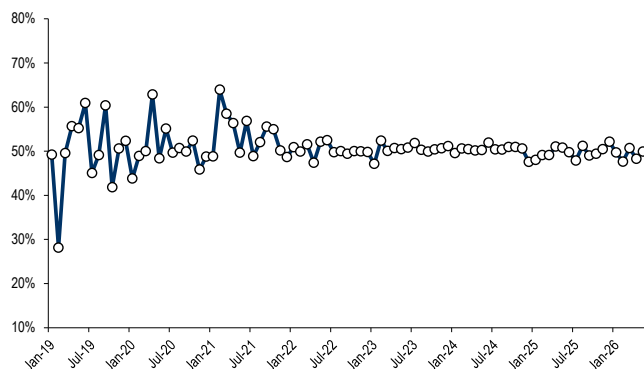
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Source: Citi Research, SMM

Shipbuilding PMI was 50%, up 0.2ppt MoM and down 0.4% YoY. On a seasonally adjusted basis, the reading was 49.7%, up 0.5ppt MoM and down 0.5ppt YoY. Production index was 50.2%, down 1.0ppt MoM and down 0.3% YoY. New orders index was 49.9%, up 1.6ppt MoM and down 0.9pptYoY.

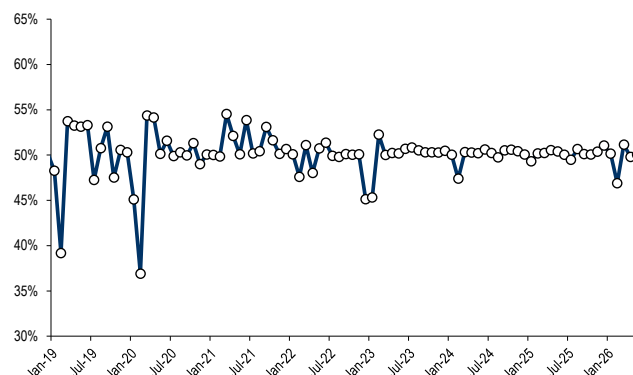
The utilization rate of shipbuilding remained high, as the capacity was still tight at this moment. New order book was stable, mainly from VLCC and cargo. SMM estimates that there should be some positive catalyst from the suspension of the Section 301 investigation, stimulating the demand from overseas ship-building. Raw-material procurement is still buying-as-needed.

Figure 12. New orders index- Ship building



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Source: Citi Research, SMM

Figure 13. Composite index - Ship building



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Source: Citi Research, SMM

Home Appliances Industry

Figure 14. Home Appliances Industry PMI

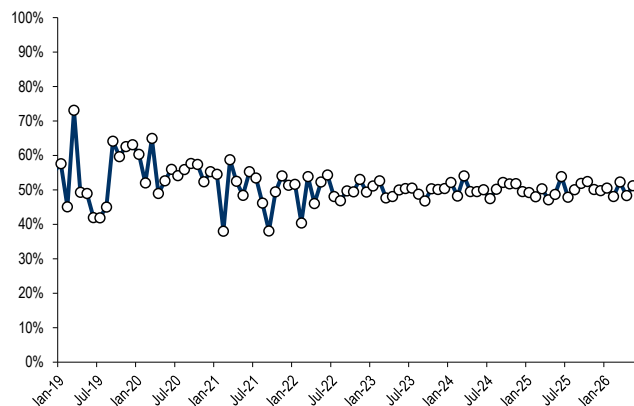
No.	Index	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	MoM	YoY
1	Production	48.1%	51.2%	48.1%	50.2%	51.6%	53.0%	50.5%	48.6%	51.5%	42.6%	53.8%	48.4%	51.1%	2.7%	3.0%
2	New orders	48.7%	53.9%	47.9%	50.1%	51.9%	52.4%	50.1%	49.8%	50.6%	48.1%	52.3%	48.4%	51.3%	2.9%	2.6%
3	New export orders	50.6%	49.7%	49.7%	49.6%	48.1%	51.8%	49.7%	51.1%	52.2%	48.1%	51.2%	50.3%	50.5%	0.2%	-0.1%
4	Overstock orders	49.4%	50.5%	49.2%	49.3%	50.7%	50.7%	49.5%	49.5%	51.5%	47.1%	51.7%	49.3%	49.2%	0.0%	-0.1%
5	Products inventory	50.7%	50.3%	51.3%	50.3%	50.3%	51.5%	49.3%	50.8%	50.7%	51.4%	50.6%	50.9%	51.5%	0.6%	0.9%
6	Purchasing volume	49.6%	51.3%	49.2%	50.5%	51.0%	51.9%	50.3%	49.7%	50.3%	45.9%	52.0%	49.5%	50.3%	0.8%	0.7%
7	Import	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	0.0%	0.0%
8	Purchasing price	48.1%	49.5%	51.1%	50.7%	49.0%	49.7%	49.4%	49.2%	49.7%	49.7%	50.8%	50.3%	50.8%	0.5%	2.7%
9	Raw materials inventory	49.6%	50.3%	48.9%	50.3%	50.5%	50.7%	50.5%	48.9%	50.7%	46.1%	50.8%	47.6%	50.5%	2.8%	0.8%
10	No. of employees	50.0%	50.0%	50.0%	49.6%	50.0%	50.0%	50.0%	50.0%	50.0%	46.3%	51.7%	50.0%	50.0%	0.0%	0.0%
11	Supplier delivery time	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	48.1%	50.6%	50.0%	50.0%	0.0%	0.0%
*	Composite	49.1%	51.5%	48.9%	50.0%	51.0%	51.6%	50.2%	49.6%	50.6%	46.4%	52.1%	49.0%	50.7%	1.7%	1.6%
*	Seasonality adjusted composite	49.1%	50.9%	49.6%	50.2%	50.2%	50.3%	49.2%	49.3%	50.6%	50.8%	50.1%	49.5%	50.7%	1.2%	1.6%
	Average inventory days	30.3	30.4	30.3	30.3	30.4	30.4	30.4	30.4	30.4	30.4	30.4	30.4	30.4	0.0	0.0

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Home appliances PMI was 50.7%, up 1.7ppt MoM and +1.6ppt YoY. On a seasonally adjusted basis, the reading was 50.7%, up 1.2ppt MoM and +1.6ppt YoY. Production index was 51.1%, up 2.7ppt MoM and up 3.0ppt YoY. The new orders index was 51.3%, up 2.9ppt MoM and +2.6ppt YoY.

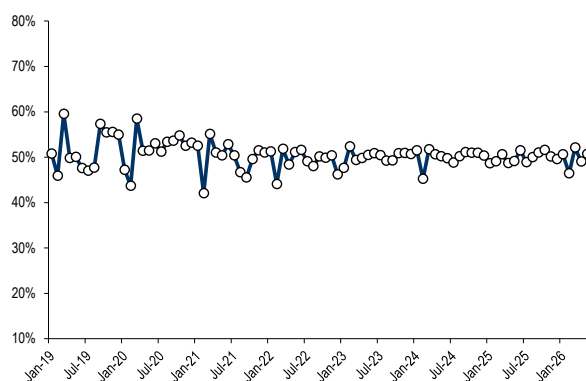
Home appliances witnessed an improving utilization rate in May, thanks to the 6.18 Festival, and high temperature ahead. Within the space, exports outperformed the domestic market. However, some home-appliance makers were concerned about overseas orderbook ahead, as recent raw-material cost inflation might put downward pressure on overseas demand.

Figure 15. New orders index- Home Appliances



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Figure 16. Composite index - Home Appliances



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Transportation Infrastructure Industry

Figure 17. Transportation Infrastructure Industry PMI

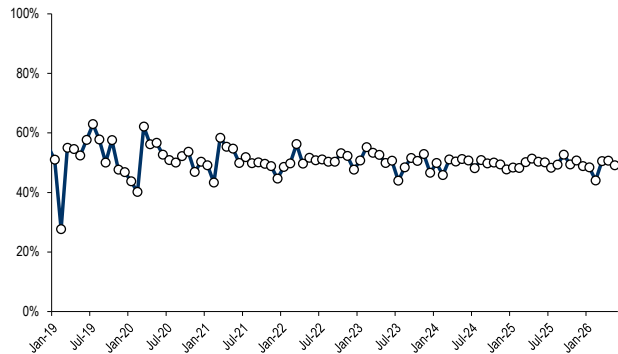
No.	Index	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	MoM	YoY
1	Production	50.7%	47.9%	47.8%	47.3%	51.3%	50.7%	47.4%	48.6%	43.0%	42.6%	53.8%	50.6%	51.1%	0.5%	0.4%
2	New orders	50.3%	50.1%	48.3%	49.4%	52.7%	49.4%	50.7%	48.9%	48.4%	44.1%	50.5%	50.7%	49.1%	-1.6%	-1.2%
3	New export orders	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	0.0%	0.0%
4	Overstock orders	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	0.0%	0.0%
5	Products inventory	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	0.0%	0.0%
6	Purchasing volume	50.6%	47.8%	47.4%	49.0%	52.5%	50.2%	47.2%	49.1%	46.2%	43.2%	51.7%	50.6%	50.7%	0.1%	0.2%
7	Import	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	0.0%	0.0%
8	Purchasing price	49.8%	49.1%	52.9%	47.9%	48.9%	49.8%	50.2%	50.6%	49.8%	49.8%	50.3%	50.6%	50.4%	-0.3%	0.6%
9	Raw materials inventory	50.3%	49.1%	48.7%	49.3%	50.8%	50.4%	48.9%	49.8%	48.7%	48.8%	51.1%	50.3%	50.7%	0.4%	0.4%
10	No. of employees	50.1%	48.8%	49.7%	48.4%	49.8%	49.6%	47.6%	49.2%	46.3%	44.7%	53.1%	50.1%	50.0%	-0.1%	-0.1%
11	Supplier delivery time	50.0%	49.8%	50.0%	50.0%	49.9%	50.0%	50.0%	49.4%	50.0%	49.1%	51.9%	50.0%	50.0%	0.0%	0.0%
*	Composite	50.3%	49.2%	48.8%	48.8%	51.1%	49.9%	49.0%	49.1%	47.0%	45.1%	52.1%	50.4%	50.0%	-0.4%	-0.3%
*	Seasonality adjusted composite	49.3%	48.9%	48.7%	48.2%	49.9%	49.0%	49.2%	50.0%	49.9%	50.0%	49.0%	48.8%	49.0%	0.2%	-0.3%
	Average inventory days	13.9	13.9	13.9	13.9	13.8	13.8	13.9	13.8	13.8	13.8	13.8	13.9	13.9	0.0	0.0

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Source: Citi Research, SMM

Transportation infrastructure PMI was 50%, down 0.4ppt MoM and -0.3ppt YoY. On a seasonally adjusted basis, the reading was 49.0%, up 0.2ppt MoM and down 0.3ppt YoY. Production index was 51.1%, up 0.5ppt MoM and up 0.4ppt YoY. The new orders index was 49.1%, down 1.6ppt MoM and -1.2ppt YoY.

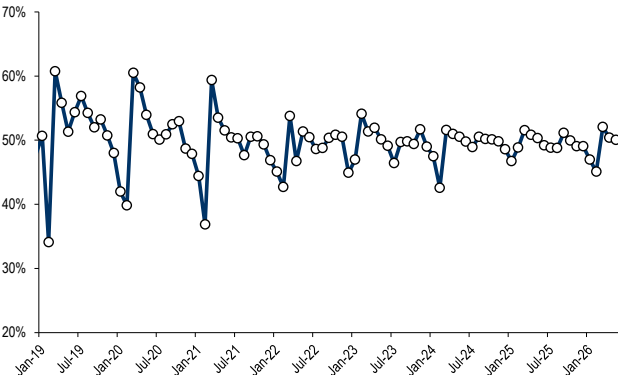
New orderbook was MoM down, mainly attributable to concerns about fund availability. New projects continue to focus on traditional infrastructure, such as roads and railways. Raw materials procurement increased in tandem with the improving infrastructure progress.

Figure 18. New orders index- Transportation Infrastructure



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Source: Citi Research, SMM

Figure 19. Composite index - Transportation Infrastructure



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Source: Citi Research, SMM

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Appendix A-1

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